

WORKSHEET

Refinance Break-Even Worksheet

My Grate Mortgage Worksheet · 6 min read

Refinancing only makes sense if you stay in the home long enough to recoup what it costs. This worksheet helps you find your exact break-even point in about five minutes. Print it and fill it in.

The idea in one sentence

A refinance has upfront costs but lowers your monthly payment. Your break-even month is when your accumulated monthly savings finally cover those upfront costs. Stay past it, and you're ahead.

The formula

$$\text{Break-even (months)} = \text{Total refinance costs} \div \text{Monthly savings}$$

Fill in your numbers

Line	Your number
A. Current monthly payment (P&I)	\$ _____
B. New monthly payment (P&I) after refi	\$ _____
C. Monthly savings (A - B)	\$ _____
D. Total refinance costs (all fees)	\$ _____
E. Break-even months (D ÷ C)	_____ months

Questions? Call or text (323) 313-8761

MyGrateMortgage.com

Your loan officer: Anthony "Tony" Pelayo · NMLS #1501920

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A worked example

Say your current payment is \$2,400 and your new payment would be \$2,150 — that's \$250 in monthly savings (line C). If the refinance costs \$6,000 (line D), then:

$\$6,000 \div \$250 = 24$ months. You'd break even in two years. Plan to stay longer than that, and the refinance likely makes sense.

Beyond the math

The worksheet covers payment savings, but a few things don't fit neatly in a formula:

- **Loan term reset.** Stretching back to a new 30-year term lowers the payment but can increase total interest. Compare lifetime cost, not just the monthly number.
- **Goal beyond savings.** Some refinances aren't about lowering the payment — they remove mortgage insurance, tap equity, or move from an adjustable to a fixed rate.
- **How you pay costs.** Rolling costs into the loan changes the math versus paying out of pocket.

Want us to run it with you?

Bring your current statement and we'll fill this out together with real, current figures for your situation — no obligation.

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